Weekly Paper Digest Generated: 2026-10-31 18:19 Period: Management Science — online month 2026-10

Total: 17 papers (17 with abstract, 17 with PDF)

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General Management

Management Science

1. Multitype Information Acquisition in a Strategic Trading Model

Authors: Hui Ou-Yang, Weili Wu, Xingtan Zhang
DOI: 10.1287/mnsc.2024.08463
Department: Finance
Published: 2026-10-29

Fields & Theories:

- **Fields:** Finance, Information Economics, Strategic Trading, Market Microstructure
- **Theories:** Game Theory, Information Acquisition Theory, Strategic Interaction

Abstract:

We analyze information acquisition in a strategic trading model with multidimensional uncertainties. Our main result is that the equilibrium can exhibit multiplicity because of the integer nature of the number of informed traders and the strategic interactions across different types of informed traders. We show that the number of equilibria can be arbitrarily large. Moreover, asymmetric equilibria can arise even in symmetric settings. As information costs rise, fewer traders acquire information, yet prices can become more informative. These results shed light on the instability of financial markets and yield testable empirical predictions. This paper was accepted by Lukas Schmid, finance. Funding: This work was supported by the National Natural Science Foundation of China [Grants 72472171 and 72372011]. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2024.08463 .

 Ou-Yang - Multitype Information Acquisition in a Strategic Trading Model.pdf

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2. Inflexibility and Leverage

Authors: Lifeng Gu, Dirk Hackbarth, Yuxin Luo
DOI: 10.1287/mnsc.2024.08672
Department: Finance
Published: 2026-10-29

Fields & Theories:

- **Fields:** Corporate Finance, Capital Structure, Financial Policy
- **Theories:** Trade-off Theory, Adjustment Cost Theory, Default Risk Framework

Abstract:

Firms' inflexibility to adjust their scale persistently explains capital structure variations in a comprehensive sample and randomly selected subsamples. Higher inflexibility leads to lower financial leverage, potentially due to higher default risk and lower value of tax shields. Contraction inflexibility determines leverage more than expansion inflexibility. Moreover, our inflexibility measure explains financial leverage significantly better than other variables that potentially capture certain aspects of adjustment costs for capital or labor. In addition, inflexible firms increase leverage more following a positive credit supply shock. Analyses employing instrumental variables estimation confirm our main finding. Our results suggest inflexibility shapes corporate financial policies. This paper was accepted by Bo Becker, finance. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2024.08672 .

 Gu - Inflexibility and Leverage.pdf

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3. Estimating the Pricing Kernel: A Simple Regression-Based Dimension-Reduction Approach

Authors: Bin Luo, Guofu Zhou, Ti Zhou
DOI: 10.1287/mnsc.2025.03608

Department: Finance
Published: 2026-10-28

Fields & Theories:

- **Fields:** Finance, Asset Pricing, Financial Econometrics, Machine Learning
- **Theories:** Mean-Variance Efficiency, Factor Models, Regularization Theory

Abstract:

We propose a simple framework for estimating the pricing kernel in factor space by constructing the mean–variance efficient factor portfolio via an ordinary least squares formulation with least absolute shrinkage and selection operator regularization. The method accommodates high-dimensional settings in which the number of candidate factors exceeds the sample size and automatically shrinks redundant factor weights toward zero. We show theoretically that the out-of-sample Sharpe ratio of the estimated portfolio converges to the theoretical maximum at the fastest rate among existing regression-based approaches. Applying the method to 174 characteristic-based factors together with the market factor, we obtain an out-of-sample Sharpe ratio of 3.59, substantially outperforming competing strategies and delivering the smallest aggregate pricing errors. The selected factors vary over time in both composition and number, averaging about 50. We further develop a model comparison test and reject the hypothesis that eight widely used sparse factor models are sufficient to span the pricing kernel. This paper was accepted by Kay Giesecke, finance. Funding: This work was supported by the National Natural Science Foundation of China [Grants 72671091, 72371079, and 72501192, and Key Program 72432005] and the Science and Technology Planning Project of Guangdong Province [Grant 2023B1515020045]. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2025.03608 .

 Luo - Estimating the Pricing Kernel A Simple Regression-Based Dimension-Reduction Appr.pdf

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4. Navigating the Rugged Data Landscape: The Impact of Data-Extrapolation Technologies on Knowledge Production

Authors: Soomi Kim
DOI: 10.1287/mnsc.2023.04115
Department: Entrepreneurship and Innovation
Published: 2026-10-27

Fields & Theories:

- **Fields:** Entrepreneurship and Innovation, Strategic Management, Knowledge Production, Sociology of Science
- **Theories:** Knowledge-Based View, Search Theory, Rugged Landscape Model

Abstract:

Data-extrapolation technologies enable progress by importing and applying empirical patterns from one domain to another. Their reliance on empirical patterns, however, is also their limitation: these tools can only be applied where data are abundant. Using the setting of structural biology, I investigate the impact of a data-extrapolation technology on innovation. I exploit the variation in prior data availability to compare areas in which the tool was usable to those in which it was not. I find that the tool increased the quantity of research in data-rich areas: the resulting output yielded limited biological insights but was methodologically rigorous and contributed to downstream research. This paper was accepted by Toby Stuart, entrepreneurship and innovation. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2023.04115 .

 Kim - Navigating the Rugged Data Landscape The Impact of Data-Extrapolation Technologi.p

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5. Corporate Pension Risk-Taking in a Low Interest Rate Environment

Authors: Vasso Ioannidou, Roberto Pinto, Zexi Wang
DOI: 10.1287/mnsc.2025.02928
Department: Finance
Published: 2026-10-26

Fields & Theories:

- **Fields:** Corporate Finance, Risk Management, Regulatory Policy, Corporate Governance
- **Theories:** Agency Theory, Risk-shifting Incentives, Financial Constraints Theory

Abstract:

We examine how funding deficit pressures shape the risk-taking of U.S. corporate defined-benefit pension plans and how targeted regulatory relief can mitigate these incentives. Using the 2012 Moving Ahead for Progress in the 21st Century Act reform, which temporarily eased funding pressure by revising discount rate calculations, we show that plans receiving greater relief significantly reduced their equity allocations and shifted toward safer assets. This derisking was most pronounced among active plans and those sponsored by more financially constrained firms. Our findings demonstrate that targeted regulatory relief can curb risk-taking incentives even without altering underlying economic conditions or financial reporting standards and shed light on the likely (and unlikely) frictions driving such behavior. This paper was accepted by Bo Becker, finance. Funding: R. Pinto acknowledges financial support from the Lancaster University Management School Pump Prime Program. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2025.02928 .

 Ioannidou - Corporate Pension Risk-Taking in a Low Interest Rate Environment.pdf

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6. The Equity Market Implications of the Retail Investment Boom

Authors: Philippe van der Beck, Cameron Cohen, Coralie Jaunin
DOI: 10.1287/mnsc.2025.04854
Department: Finance
Published: 2026-10-26

Fields & Theories:

- **Fields:** Finance, Financial Markets, Behavioral Finance, Asset Pricing
- **Theories:** Asset Demand Theory, Attention-based Trading, Market Microstructure

Abstract:

We quantify the equilibrium impact of retail traders on the U.S. equity market within a structural model of asset demand. Estimating investor-specific demand curves, we find that Robinhood traders are fundamentally distinct from all other investors, includ ing other households: their demand is the most elastic and tilts most strongly toward vola tile and microcap stocks. Each dollar invested through Robinhood generates more than five dollars in aggregate equity repricing, exceeding hedge funds, other households, and all other investor types. We decompose the cross-sectional variation in stock returns during Robinhood' s growth surge in 2020 into investor-specific components and find that shifts in Robinhood traders' latent demand drove 11% of small-cap return volatility despite their negligible aggregate wealth share. To explain these demand shifts, we show that Robin hood traders are the only investor group whose latent demand is well explained by atten tion proxies: their demand exhibits a V-shaped response to past returns and rises sharply with trading volume. Our findings suggest that the growth of retail trading platforms represents a fundamental shift in the composition of equity demand with equilibrium con sequences disproportionate to retail investors' share of aggregate wealth. History: Accepted by Lukas Schmid, finance. Funding: P. van der Beck acknowledges financial support from the Swiss National Science Foundation. Supplemental Material: The data files are available at https://doi.org/10.1287/mnsc.2025.04854.

 Beck - The Equity Market Implications of the Retail Investment Boom.pdf

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7. Looking Under the Hood of Commodity Currency Predictability

Authors: Alexandre Jeanneret, Valeri Sokolovski
DOI: 10.1287/mnsc.2024.07249
Department: Finance
Published: 2026-10-23

Fields & Theories:

- **Fields:** International Finance, Financial Economics, Asset Pricing, International Business
- **Theories:** Efficient Market Hypothesis, Information Friction, Liquidity Constraints

Abstract:

This paper revisits the exchange rate predictability of commodity currencies through the lens of market efficiency. Focusing on currencies with strong contemporaneous exposure to commodity prices, we show that changes in country-specific commodity export or import prices predict exchange rate fluctuations both in sample and out of sample. We establish four empirical facts: (i) the sign of the predictive relationship runs counter to standard risk-based explanations; (ii) predictability is concentrated at short horizons; (iii) predictability is driven by a small set of thinly traded currencies; and (iv) even sophisticated speculative traders adjust positions sluggishly in response to commodity price shocks in these currencies. Together, these findings suggest that predictability arises from the slow incorporation of information in less actively traded currencies, which is likely due to liquidity and position-building constraints, rather than from compensation for risk. The results also clarify the sources of commodity-based predictability in carry trade returns. This paper was accepted by Lukas Schmid, finance. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2024.07249 .

 Jeanneret - Looking Under the Hood of Commodity Currency Predictability.pdf

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8. Why Zoning Is Too Restrictive

Authors: Jack Favilukis, Jaehee Song
DOI: 10.1287/mnsc.2025.02844
Department: Finance
Published: 2026-10-22

Fields & Theories:

- **Fields:** Urban Economics, Public Policy, Institutional Economics, Strategic Management
- **Theories:** Institutional Theory, Political Economy, Externalities, Industrial Organization

Abstract:

Economists estimate that zoning regulations raise house prices, lower productivity, and reduce aggregate welfare, yet regulations remain widespread. We develop and solve a model in which fragmented zoning authority leads to overly strict regulations: Homeowners impose stricter regulations to mitigate local congestion but fail to internalize the broader impact on metro-wide affordability. Empirically, the Herfindahl-Hirschman index of local governments explains 12% of the variation in zoning restrictiveness. Using an instrument based on 19th-century municipal fragmentation, we show that greater fragmentation leads to stricter zoning and higher housing costs. These findings suggest that centralizing zoning decisions could alleviate housing affordability challenges. This paper was accepted by Lukas Schmid, finance. Funding: This work was supported by the Social Sciences and Humanities Research Council of Canada [Grant AWD-027881 SSHRC 2023]. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2025.02844 .

 Favilukis - Why Zoning Is Too Restrictive.pdf

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9. Share Issues vs. Share Repurchases

Authors: Philip Bond, Yue Yuan, Hongda Zhong
DOI: 10.1287/mnsc.2025.03301
Department: Finance
Published: 2026-10-21

Fields & Theories:

- **Fields:** Corporate Finance, Financial Management, Corporate Governance
- **Theories:** Information Asymmetry, Signaling Theory, Agency Theory

Abstract:

Almost all firms repurchase shares through open-market repurchase programs. In contrast, issue methods are more diverse; at-the-market offerings, analogous to open-market repurchases, and seasoned equity offerings, analogous to rarely used tender-offer repurchases, are both used by significant fractions of firms. Furthermore, average seasoned equity offerings are larger than at-the-market offerings. We show that this asymmetry in the diversity of transaction methods in issuances and repurchases and the size-method relation in issuances are natural consequences of the single informational friction of a firm having superior information to investors. Moreover, although this friction always leads firms to issue inefficiently little, it leads firms to repurchase too little if they maximize long-term shareholder value but too much if the primary goal is to boost short-term share prices. This paper was accepted by Bo Becker, finance. Funding: Y. Yuan acknowledges support from the Paul Woolley Centre, the National Natural Science Foundation of China [Projects 72342020 and 72495152], and University College London. H. Zhong acknowledges support from the Economic and Social Research Council [New Investigator Grant ES/T003758/1]. Supplemental Material: The online appendix is available at https://doi.org/10.1287/mnsc.2025.03301 .

 Bond - Share Issues vs. Share Repurchases.pdf

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10. Disagreement and Bond PEAD

Authors: Yoshio Nozawa, Yancheng Qiu, Yan Xiong
DOI: 10.1287/mnsc.2024.07966
Department: Finance
Published: 2026-10-19

Fields & Theories:

- **Fields:** Finance, Financial Markets, Accounting, Asset Pricing
- **Theories:** Information Asymmetry, Heterogeneous Beliefs, Market Efficiency

Abstract:

This paper documents post-earnings announcement drift (PEAD) in corporate bond prices using transaction data. We find a counterintuitive relationship between the drift and trading volume: PEAD is more pronounced for more heavily traded bonds than for less frequently traded bonds. Across markets, PEAD is observed for credit default swaps but not for stocks. We explain these findings using a unified model that incorporates both debt and equity trading, where investors possess private information about the underlying firm's cash flows and may hold differing opinions. Our empirical evidence supports the model's prediction that payoff structures and investor disagreement account for the distinct price dynamics across asset classes. This paper was accepted by Lukas Schmid, finance. Funding: The authors acknowledge research support from the Center for Investing at HKUST. Y. Xiong thanks the support by National Natural Science Foundation of China [NSFC 72422007] and the Research Grants Council of the Hong Kong Special Administrative Region, China [Project 16501523]. Supplemental Material: The online appendices and data files are available at https://doi.org/10.1287/mnsc.2024.07966 .

 Nozawa - Disagreement and Bond PEAD.pdf

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11. AI-Driven Human Task Substitution: Evidence from Google Translate and ChatGPT

Authors: Erdem Dogukan Yilmaz, Ivana Naumovska, Vikas A. Aggarwal
DOI: 10.1287/mnsc.2024.06740
Department: Business Strategy
Published: 2026-10-14

Fields & Theories:

- **Fields:** Strategic Management, Innovation Management, Labor Economics, Digital Transformation
- **Theories:** Task-based Model of Automation, Technological Substitution, Human-AI Substitution

Abstract:

We examine how different generations of artificial intelligence (AI) substitute for human knowledge worker tasks, leveraging two sequential natural experiments in the translation industry. We study the introduction of Google Neural Machine Translation (GNMT), a predictive, task-specific AI, as well as ChatGPT, a broad, general-purpose gen erative AI, in a major online labor market. Distinguishing between analytical tasks (regular translations) and intuitive tasks (transcreations, which require creative and cultural adapta tion), we estimate difference-in-differences models on transaction-level data from 2016 to 2017 and 2022 to 2023. We find that GNMT reduced the demand for analytical tasks by eco nomically meaningful magnitudes, while having no detectable effect on intuitive tasks. By contrast, ChatGPT produced substantially larger and more uniform reductions for both analytical and intuitive tasks, indicating a marked expansion in the scope and magnitude of AI substitution. By comparing these two technological shocks within the same labor market, we show that conclusions about which types of human work are resilient to auto mation do not straightforwardly generalize from predictive to generative AI. History: Accepted by Joshua Gans, business strategy. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2024.06740.

 Yilmaz - AI-Driven Human Task Substitution Evidence from Google Translate and ChatGPT.pdf

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12. Collective Activism

Authors: Craig Doidge, Alexander Dyck, Liyan Yang
DOI: 10.1287/mnsc.2025.02975
Department: Finance
Published: 2026-10-09

Fields & Theories:

- **Fields:** Strategic Management, Corporate Governance, Finance
- **Theories:** Collective Action Theory, Game Theory, Coordination Costs, Agency Theory

Abstract:

Can investor stewardship codes that call for coordinated activism be satisfied by an Investor Collective Action Organization (ICAO)? In an ICAO, investors work collec tively, like a large shareholder, to monitor management and increase value. We analyze the endogenous formation of an ICAO and its equilibrium size, considering free-rider pro blems and coordination costs. While the ICAO overcomes free-rider problems among its members, it exacerbates them between the ICAO and solo activists. The benefit of joining an ICAO is hump-shaped in size. With moderate coordination costs, ICAO formation fea tures multiple equilibria. Small changes in coordination costs significantly influence ICAO formation and activism. History: Accepted by Will Cong, finance. Funding: L. Yang thanks the support from the Social Sciences and Humanities Research Council of Can ada [Grants 435-2021-0040, 435-2026-0060] and the Bank of Canada [Fellowship]. Supplemental Material: The online appendix is available at https://doi.org/10.1287/mnsc.2025.02975.

 Doidge - Collective Activism.pdf

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13. Using Representation Learning and Website Text to Identify Competitor Networks

Authors: Gerard Hoberg, Craig Knoblock, Gordon Phillips, Jay Pujara, Zhiqiang Qiu, Louiqa Raschid
DOI: 10.1287/mnsc.2024.06516
Department: Not stated (no editor line)
Published: 2026-10-07

Fields & Theories:

- **Fields:** Strategic Management, Competitive Dynamics, Entrepreneurship, Computational Social Science
- **Theories:** Network Theory, Competitive Dynamics, Representation Learning

Abstract:

This paper introduces a new approach to identify competitors using company websites to map competitive relationships among public and private firms. We apply rep resentation learning techniques to create embeddings of companies based on website con tent, emphasizing information about industry-specific products and services. By placing all firms, public and private, within the same embedding space, we construct a peer com petitor network that supports analysis of company interactions and market evolution. We label this new approach and set of network competitors as the website text-based network industry classification (WTNIC). We evaluate the quality of the network using multiple ground truth datasets and benchmarks and show that it offers a robust alternative for understanding competition at scale. Despite using noisy website data, WTNIC matches or outperforms prior approaches that rely on curated data. We demonstrate the value of WTNIC through a case study examining how competition from China affects the public and private peers of a focal firm, highlighting the importance of placing both public and private companies within the same embedding space. Funding: This work was supported by the National Science Foundation [Grants 1561068 and 1937153], the Tuck School of Business at Dartmouth College, the USC Marshall Institute for Outlier Research in Business (iORB), and the Smith School of Business at the University of Maryland. Supplemental Material: The data files are available at https://doi.org/10.1287/mnsc.2024.06516.

 Hoberg - Using Representation Learning and Website Text to Identify Competitor Networks.p

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14. Trading Off Business and Family Investments: Evidence from U.S. Entrepreneurial Households

Authors: Olivia S. Kim
DOI: 10.1287/mnsc.2024.04789
Department: Finance
Published: 2026-10-06

Fields & Theories:

- **Fields:** Entrepreneurship, Strategic Management, Household Finance
- **Theories:** Resource Allocation Theory, Human Capital Theory, Internal Capital Markets

Abstract:

Investing in children' s human capital reduces business investments for U.S. entrepreneurial households. Using financial account data of 90,000 small businesses linked to their owners and a regression discontinuity design that compares the business perfor mance of households with college-aged dependents (18–22) to those with near-college-aged dependents (14–17), I show that business revenues and expenses decline sharply when owners' children reach age 18. Despite the declines, profitability and productivity remain largely unaffected, suggesting a general downsizing rather than a loss in efficiency. Hetero geneity analysis shows that downsizing is concentrated among highly indebted owner households and businesses with volatile cash flows. For each dollar increase in household spending associated with a child turning 18, business expenses decline by $2.26. These find ings are consistent with entrepreneurial parents reallocating capital from business invest ments toward their children' s human capital, as both compete for the same pool of internal family financial resources. History: Accepted by Camelia Kuhnen, finance. Supplemental Material: The data files are available at https://doi.org/10.1287/mnsc.2024.04789.

 Kim - Trading Off Business and Family Investments Evidence from U.S. Entrepreneurial H.pdf

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15. Money Creation for Crypto Space: Stablecoins or Central Bank Digital Currencies?

Authors: Jonathan Chiu, Cyril Monnet
DOI: 10.1287/mnsc.2024.08420
Department: Finance
Published: 2026-10-06

Fields & Theories:

- **Fields:** Strategic Management, Digital Finance, Fintech
- **Theories:** Competition Theory, Monetary Theory, Mechanism Design

Abstract:

Stablecoins are the current go-to digital money to settle transactions on the block chain. We explore the implications of introducing competing tokenized public digital monies (i.e., tokenized central bank digital currencies (CBDCs)). When they pay a moderate interest rate and guarantee users' anonymity, tokenized CBDCs crowd out stablecoins. However, when they pay a high interest rate and have low anonymity features, stablecoin issuers could use tokenized CBDCs as collateral, promoting the creation of stablecoins. We identify condi tions under which introducing a CBDC to compete with stablecoins in the crypto sector would be socially optimal. History: This paper has been accepted by Will Cong for the Virtual Special Issue on Digital Finance. Funding: Support from Swiss National Science Foundation (SNSF) [Grant 100018 219835].

 Chiu - Money Creation for Crypto Space Stablecoins or Central Bank Digital Currencies.pdf

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16. More Monitoring, Less Pay: Active Ownership and Employee Compensation

Authors: Claudine Gartenberg, Elaine Pak
DOI: 10.1287/mnsc.2024.08553
Department: Organizations
Published: 2026-10-01

Fields & Theories:

- **Fields:** Strategic Management, Corporate Governance, Human Resource Management, Organizational Theory
- **Theories:** Agency Theory, Monitoring-Incentive Substitution, Active Ownership

Abstract:

The rise of active owners—hedge funds and private equity firms—has raised questions about the influence of corporate owners on employee compensation. Prior research documents that active owners reduce overall compensation through workforce restructuring and slower wage growth. What remains unexplored is whether active owners also pay less for comparable work: whether they compensate the same jobs differently than other owners. Using detailed compensation from more than 20 million employee records across 896 U.S. firms, we compare pay within narrowly defined labor markets that hold constant year, region, occupation, and skill level. We find that firms with active owners pay 2%–4% less for comparable work than other firms. These differentials manifest as both lower base salary and flatter incentive pay and appear to reflect, at least in part, an owner treatment effect. Notably, the effects are concentrated in more monitorable contexts, including routine jobs, jobs with quantifiable outputs, and those in less knowledge-intensive industries. These patterns are consistent with active owners substituting compensation-based incentives with managerial oversight, particularly in quantifiable and routine settings. This suggests that, as work becomes more measurable, firm ownership may play a greater role in shaping employee outcomes. This paper was accepted by Isabel Fernandez-Mateo, organizations. Funding: C. Gartenberg and E. Pak recognize the generous financial support from the Wharton School at University of Pennsylvania. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2024.08553 .

 Gartenberg - More Monitoring, Less Pay Active Ownership and Employee Compensation.pdf

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17. The Effects of Stock Ownership on Individual Spending, Investments, and Loyalty

Authors: Paolina C. Medina, Vrinda Mittal, Michaela Pagel
DOI: 10.1287/mnsc.2024.05567
Department: Finance
Published: 2026-09-30

Fields & Theories:

- **Fields:** Finance, Behavioral Economics, Consumer Behavior, Household Finance
- **Theories:** Life-cycle Hypothesis, Behavioral Bias, Familiarity Bias

Abstract:

In this paper, we analyze how one of the most fundamental behavioral biases in investing—people' s preference for buying specific stocks rather than holding the market portfolio—affects their life-cycle consumption, savings, and stock market participation. We first show that when investors receive stocks from specific companies, they increase their spending in those companies' stores. Although specific stock ownership increases total spending in the short run, individuals' overall stock market investments increase in the long run. For identification, we use the staggered allocation of brokerage accounts to individuals over time as well as quasirandomly distributed stock grants. This paper was accepted by Will Cong, finance. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2024.05567 .

 Medina - The Effects of Stock Ownership on Individual Spending, Investments, and Loyalty.pdf

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